Despite these arguments, official statements by multilateral institutions such as the IMF continue to endorse unconventional monetary policies while downplaying the adverse spillover effects to other countries. Indeed, in an excellent analysis of the obstacles to international policy coordination, the IMF's own Jonathan Ostry and Atish Ghosh argue that 'impartial' international policy assessments by multilateral entities could be suspected of bias

> '…if there were a systematic tendency of the assessor to identify a change in policy (tighter fiscal policy; looser monetary policy; structural reform) as always yielding welfare gains at the national and global levels. This would breed suspicion because the base case should be that countries do not fail to exploit available welfare gains…it is implausible that welfare gains at the national and global levels should always be positively correlated…'

By downplaying the adverse effects of cross-border monetary transmission of unconventional policies, we are overlooking the elephant in the post-crisis room. I see two dangers here. One is that any remaining rules of the game are breaking down. Our collective endorsement of unconventional monetary policies essentially says it is okay to distort asset prices if there are other domestic constraints to reviving growth, such as the zero lower bound. But net spillovers, rather than fancy acronyms, should determine internationally acceptable policy.

Otherwise, countries could legitimately practice what they might call quantitative external easing or QEE, whereby they intervene to keep their exchange rate down and build huge reserves. The reason we frowned on QEE in the past is because we believed the adverse spillover effects for the rest of the world were significant. If we are unwilling, however, to evaluate all policies based on their spillover effects, there is no legitimate way multilateral institutions can declare that QEE contravenes the rules of the game. Indeed, some advanced